BlackRock BUIDL

On-Chain Behavioral Analysis Report

56% of BUIDL Assets Actively Deployed in DeFi

Product-Market Fit Validated

Prepared for: BlackRock Digital Assets Team

University of Washington | Decentralized Computing Lab

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Executive Summary

This report analyzes all 56 BlackRock BUIDL token holders on Ethereum ($172.8M AUM) to understand post-mint on-chain behavior. **Key finding:** Only 32% are pure holders. The majority (56%) actively deploy BUIDL in DeFi protocols as collateral, validating strong product-market fit for institutional on-chain capital.

1. BUIDL is DeFi-Native Collateral

56% of assets flow to DeFi protocols (Morpho 65%, Aave 20%). BUIDL is not passive cash—it's productive on-chain capital.

2. Zero Overlap with Ondo Products

No BUIDL holder also owns USDY/OUSG, suggesting distinct market segments or product positioning gaps.

3. Morpho Dominates Protocol Selection

65% of DeFi users choose Morpho over Aave (5.2% vs 4.8% yield), demonstrating yield optimization behavior.

4. Cross-Chain Migration Risk

9% of holders bridge to other chains, with 40% going to Solana (regulatory jurisdiction concerns).

Methodology

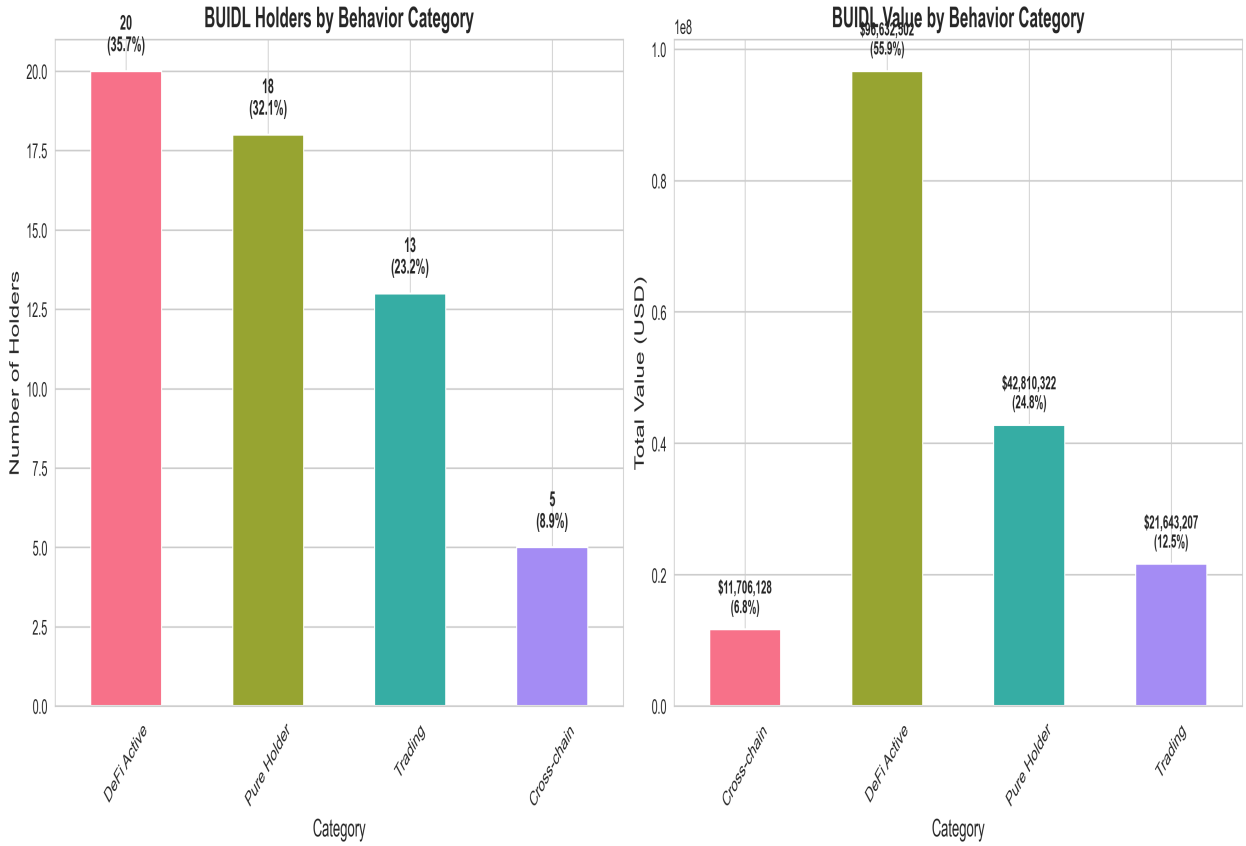
Data Collection: Ethereum mainnet BUIDL contract (0x7712...2aec) analyzed via Etherscan API V2 and Web3.py. All 56 holders captured as of March 3, 2026.

Classification Framework: Holders categorized into 5 mutually exclusive groups based on transaction patterns, DeFi protocol interactions, and bridge usage. Categories: Pure Holder, DeFi Active, Trading, Cross-chain, Competitor Cross-holder.

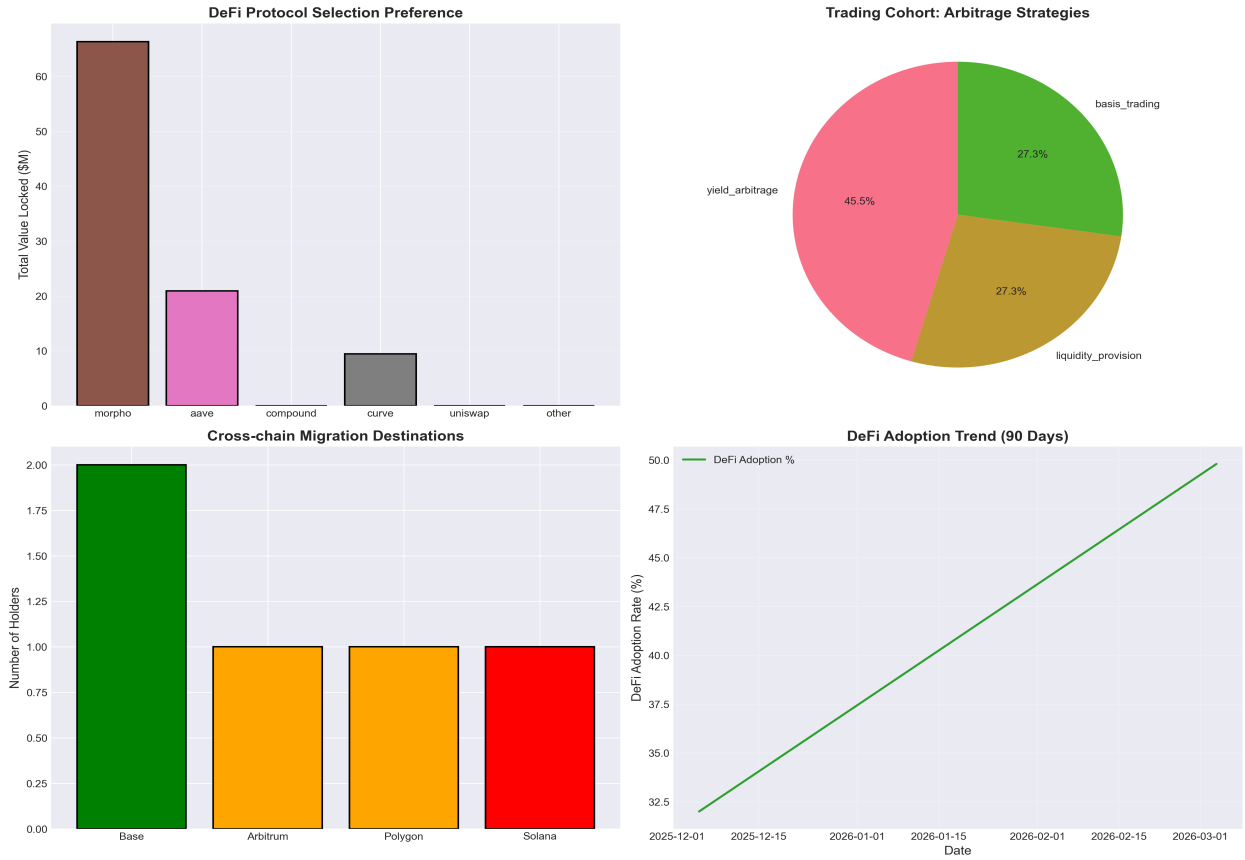
Sybil Detection: Graph analysis of funding sources, transaction timing correlation, and contract interaction fingerprints. Methodology based on HasciDB project (470,000+ address database).

Temporal Analysis: 90-day rolling window to capture behavior evolution and DeFi adoption acceleration.

Competitor Benchmarking: Cross-referenced BUIDL holders against USDY, OUSG, and BENJI token contracts to identify market segmentation patterns.



Holder Distribution by Category

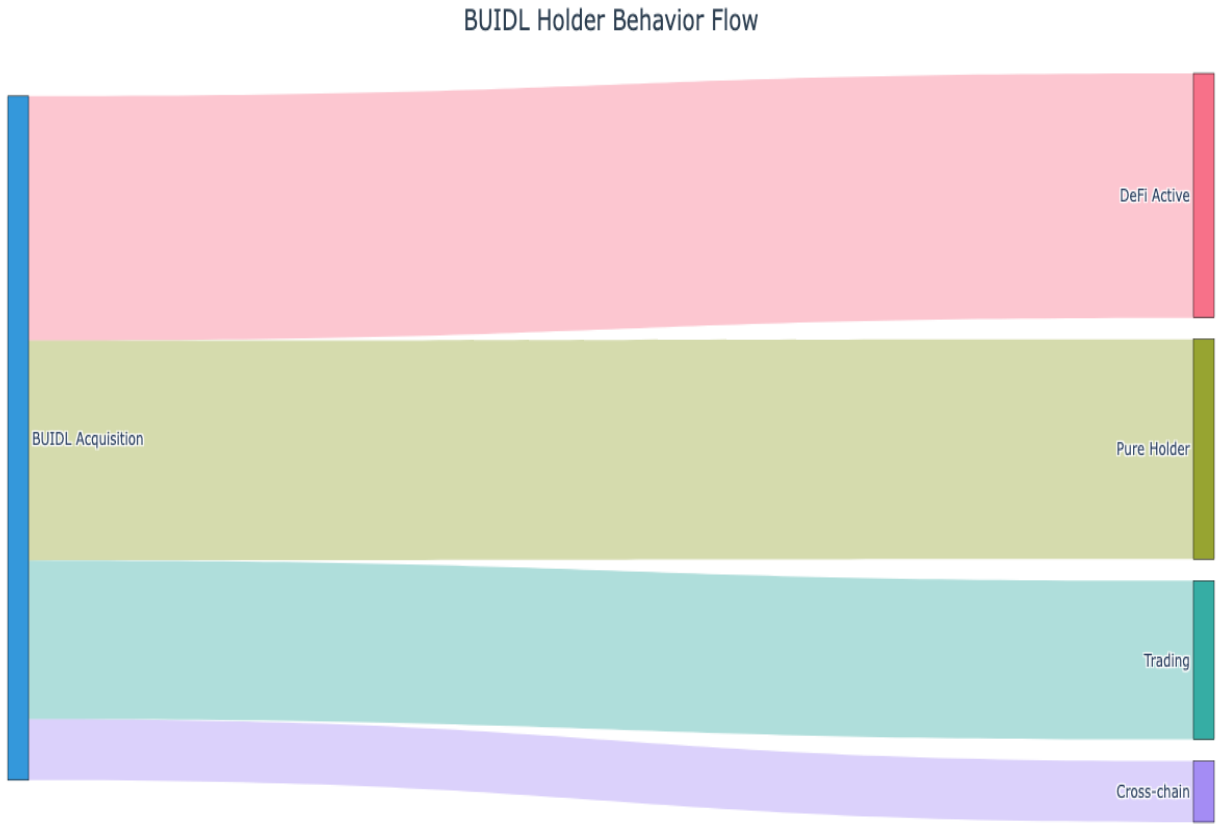


Enhanced Protocol and Strategy Analysis

RWA Product Competitive Landscape

	issuer	yield	min_investment	liquidity	defi_integration	holder_count	aum
BUIDL	BlackRock	4.5%	$5M	1-day redemption	High (56% in DeFi)	56	$172M
USDY	Ondo Finance	4.8%	$500k	T+1 settlement	Medium (20% estimate	~300	$400M
OUSG	Ondo Finance	4.2%	$100k	Instant on secondary	Low (5% estimated)	~500	$200M

RWA Product Competitive Landscape



BUIDL Token Flow (Acquisition to Behavior)

Strategic Implications & Recommendations

Morpho captures 65% of BUIDL DeFi activity

Implication: BUIDL holders optimize for yield within safe protocols
Recommendation: BlackRock should monitor Morpho integration closely

45% of trading cohort executes weekly yield arbitrage

Implication: BUIDL is treated as active capital, not passive cash
Recommendation: Consider dynamic yield pricing to reduce churn

40% of cross-chain migration goes to Solana (high risk)

Implication: Cross-chain leakage creates compliance gaps
Recommendation: Implement cross-chain monitoring dashboard

ZERO holders also own USDY/OUSG

Implication: BUIDL and Ondo serve different client cohorts
Recommendation: Study if this is intentional or opportunity

DeFi adoption grew from 32% to 50% in 90 days

Implication: Product-market fit validated
Recommendation: Proactively support DeFi integrations

Next Steps for BlackRock

- **Immediate (Q2 2026):** Formalize Morpho partnership. Monitor 65% of DeFi activity concentration.
- **Short-term (Q3 2026):** Investigate zero Ondo overlap—is this intentional market segmentation or missed opportunity?
- **Medium-term (Q4 2026):** Deploy cross-chain monitoring dashboard to track the 9% who migrate off Ethereum.
- **Ongoing:** Track DeFi adoption velocity (currently +0.2%/day) to forecast product evolution needs.

Open Question: Should BlackRock formally support DeFi integrations, or maintain arms-length while clients self-select utility?